

1CP — one-candle confirmations

One candle: a long wick doing the rejecting, a small body.

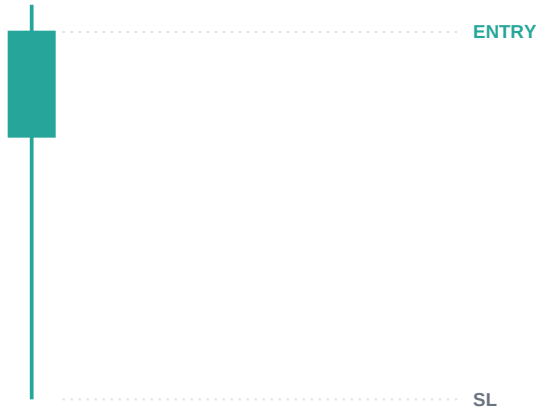
The WICK sets the direction — lower is bullish, upper is bearish. The body colour only sets the name.

Entry sits at the body edge on the trade side. The stop sits beyond the wick.

BULLISH · long lower wick

Hammer

green body



BEARISH · long upper wick

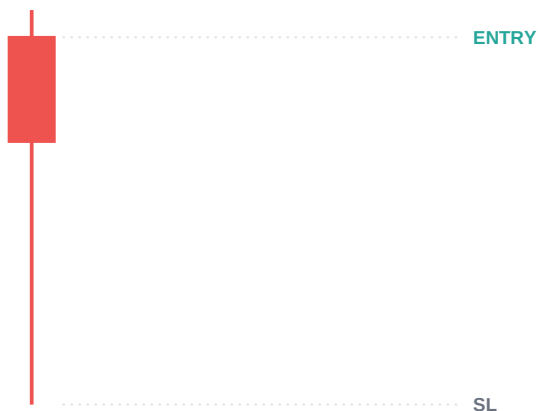
Shooting star

red body



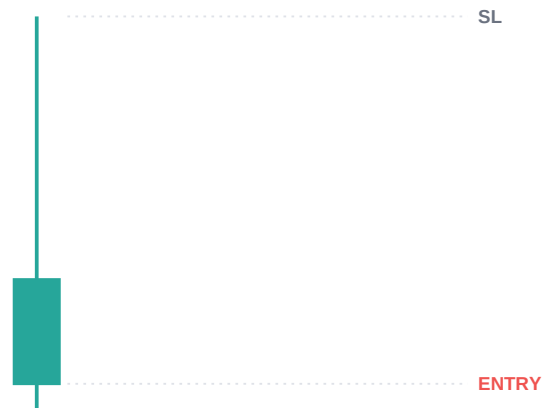
Hanging man

red body



Inverted hammer

green body



Four names, two shapes

A hammer and a hanging man are the identical candle in two colours, and both are bullish.

So are the inverted hammer and the shooting star, and both are bearish.

Naming by body colour rather than by position is deliberate: colour is in the data, position is a judgement about where a move 'was', which cannot be made without hindsight.

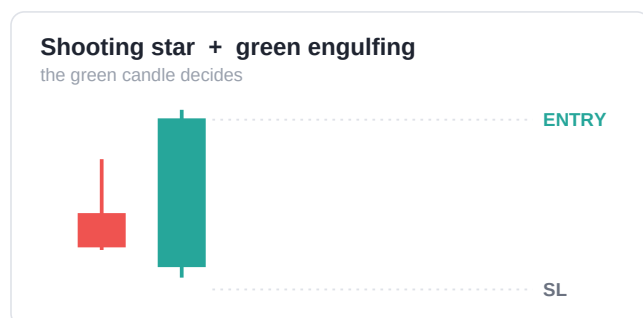
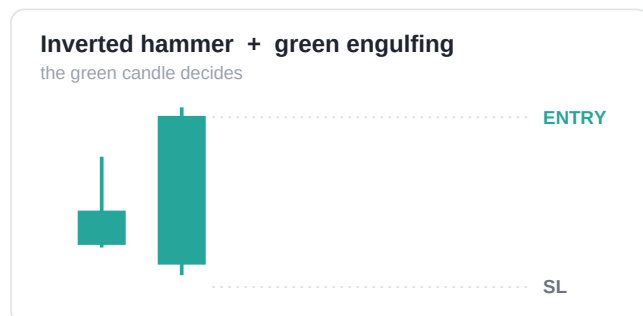
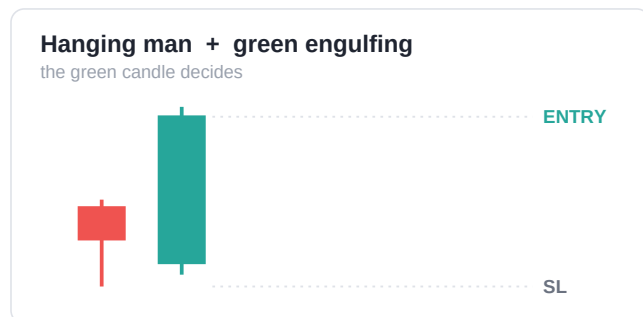
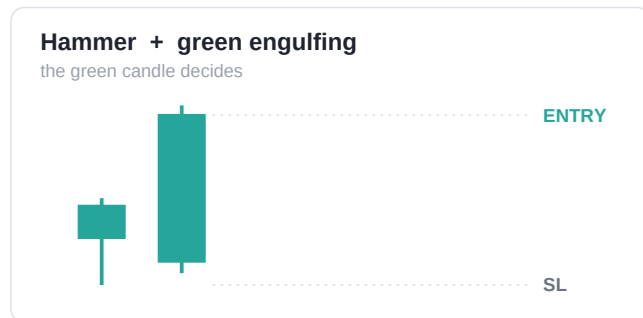
2CP — two-candle confirmations

Any of those four pins, then a decisive candle that engulfs it.

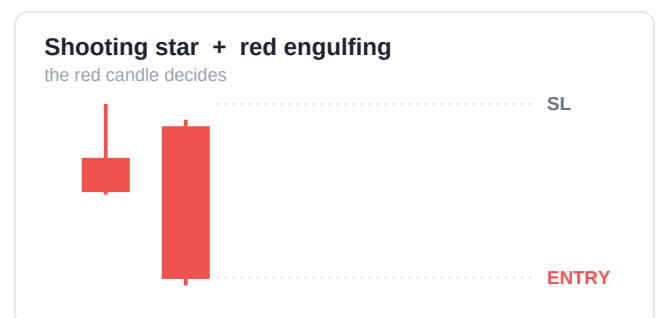
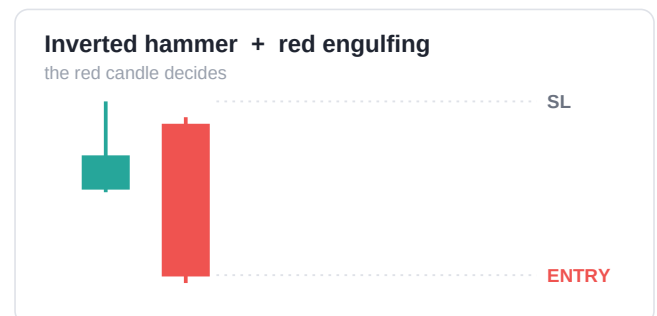
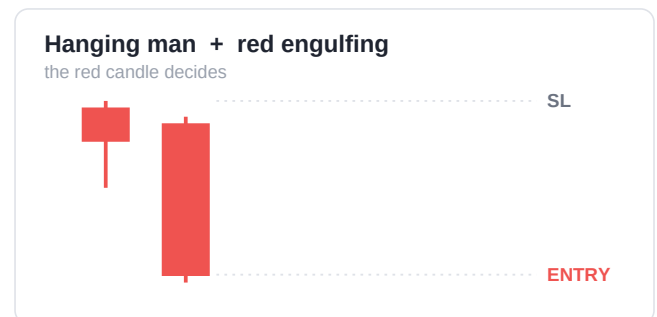
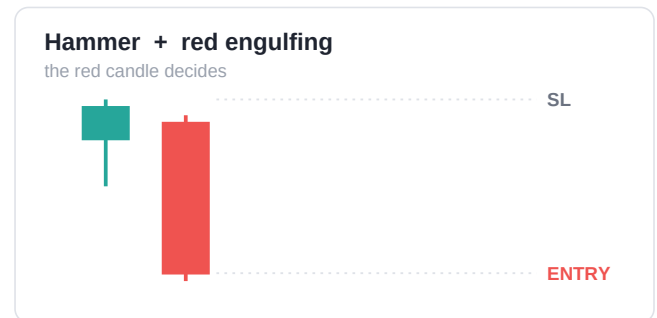
Here the SECOND candle sets the direction: a green engulfing is bullish, a red one bearish.

Entry sits at the body edge of the second candle. The stop sits beyond the furthest wick of the pair.

BULLISH · pin + green engulfing



BEARISH · pin + red engulfing



Why a shooting star can open a long

In a 2CP the pin's job is to mark that price was rejected AT ALL, not which way.

The engulfing candle settles the direction, so any of the four pins can open either side.

Four pins x two directions is eight, and with the four 1CPs that is the twelve.